03-Jun-2021

Zoetis, Inc. (ZTS)

Stifel Jaws & Paws Conference

CORPORATE PARTICIPANTS

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

OTHER PARTICIPANTS

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

MANAGEMENT DISCUSSION SECTION

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Great. Thanks, guys. Good afternoon. Jon Block with Stifel. And we're going to continue down the animal health track. Just had a really good fireside chat with a couple of the physicians on diagnostics and then we'll end the day talking to the same physicians on therapeutics. But right now, I'm really happy to introduce Kristin Peck, Chief Executive Officer of Zoetis, the world's number one animal health company. I was just talking to Kristin saying we've got a robust talk track ahead of us. So, I'm going to get right into things.

QUESTION AND ANSWER SECTION

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Now she's going to start on the livestock side of the business, poultry, swine and cattle. And I want to revisit some of the commentary, Kristin, in the most recent earnings call specific for swine. You've been posting really solid results over the past couple of quarters. For me, it seemed like Zoetis' management was a little bit more upbeat on swine going forward on your talk track versus maybe another large player in the space. So, if you can talk to what Zoetis is seeing in the swine market, why more upbeat, if I have that correct, is it a function of new products or market share? We can kick things off there, please.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

Sure. We did have a strong Q1. Overall, livestock, as you know, grew 8%. And one of the real leaders there was certainly our swine business. Really, what we think is underlying that swine growth is China. China is looking to rebuild its herd, but that will take multiple years. And they're still seeing intermittent outbreaks as you probably know of ASF. So, really it's other markets exporting to China that's driving the growth.

So, what's really holding up the US market is not US demand. It has been China. Just finished recently some market visits with our Brazil team, our Chile team, et cetera. And you're still seeing very strong demand for swine across the globe. And most of that is really going to China. So, I do think the underlying story here is certainly growth in our portfolio in China. We saw a very strong Q1. As you probably saw in China, we grew 75%. That was led by our swine business. As they rebuild herds, it does favor multinationals with strong portfolio such as Zoetis. Certainly, we've been manufacturing a number of our vaccines locally in China because biosecurity is really going to be important. So, the growth is being led in China as they rebuild herds, but as well in other markets that export to China that's really holding up that swine market from a global perspective.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

[indiscernible] (00:02:26). So, when we hear about these like flare-ups in a particular region in China for ASF to your point is maybe don't get too obsessed with some of those flare-ups because it's [ph] broader in there (00:02:35), right? It's going on – with what's going on in China, but it's also the exports and that's where Zoetis has a really strong market position.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

Yeah. No, I mean, obviously, we are concerned whenever we see these flare-ups. They have been localized. So, it has not [ph] released (00:02:49) thankfully. And really what's happened in China is there's more integrated producers with some higher biosecurity that have still been able to produce. But all that does in certain ways is delay China's ability to rebuild its herd and support other markets and export to China, the slower it takes China to do that.

So, until you can see China being able to get back to the same production levels that they had in 2018, I still think you're going to see incremental growth as people export and China looks to rebuild. And I think multinationals with very efficacious vaccines are really going to be the winners in this as they rebuild the herd.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Okay. Very helpful. I'll move from swine to poultry and that division was really one of the standouts with Zoetis in 2018 and 2019. It has moved to negative growth over the past couple quarters. And I just want to talk about the results of that I understand it. Is it a function of market or I think you've also alluded to some low end competition, generic competition. So, how do we think about poultry and what that means for Zoetis looking forward?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

Sure. I mean, it's both a little bit. There's definitely significant and there's a few things driving that. One obviously was COVID. It was quite difficult as you saw last year. The one thing about poultry producers is they can pare down their flocks much faster than a swine or cattle producer. I mean, they only takes 43, 60 days to grow a chicken, you can decide not to grow them very quickly and then you're going to rebuild. So, you did see production overall go down and they probably over rotated.

Everyone's reading in the paper. There are chicken shortages in a number of places across the US and around the globe. I think they pivoted maybe more than they needed to. But I'd also say, if you follow a lot of the food companies, dine-out has come back faster than anyone expected. And you're starting to see a number of food shortages as supply chains try to pivot to be able to produce both dine-in and dine-out. It's slightly different supply chains as you know.

So, I think some of the market will start to recover. Certainly, the signals are there for producers to expand their flocks and do that. And I think prices will come back and that will obviously also encourage them to do so. And then you're also seeing certainly some increased competition for some of our leading anticoccidial products such as ZOAMIX. New generics, we're expecting to hit the market this year. So, we also, specific to us, saw our rotation. I mean, as many people probably don't follow poultry, but when you, often rotate products to make sure you don't have resistance, so we did see a rotation off our products, which will rotate back as well. So, there's a lot of confounding factors there. That was a little bit harder, I know, to parse down if you're following the big industry.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Okay. I mean, it's very helpful. So, the rotation off arguably can go rotation back on. And like you said maybe some of those producers with the flocks got overly aggressive, now with dine-in coming back stronger than people anticipated. Arguably that could be a net positive [ph] you think in the industry (00:05:39).

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

Yeah. And the only net negative is we are expecting generic competition for our leading product ZOAMIX, one of our largest anticoccidials, which hasn't exactly happened, but people are expecting it, I will tell you in the market as well.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Okay. And then help me with cattle. I mean, look, we used to do a livestock monthly. We plan on reinstituting that pretty shortly. But it just seems like mixed data points, right? Protein consumption is slowly returning. But then you hear these input prices and what that may mean for something like a cattle cost that we were playing around with some period of time. So, your thoughts on cattle going forward, maybe tie that to dine-out returning as well?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. There's been a lot of uncertainty to your point and there's a lot of mixed messages, I think, going on and that's mentioned little crises like we saw with JBS and their cyber-breach. And all this stuff does is back up the market and confuse the market and confuse producers. But overall before we entered the year, we were expecting a flat to declining overall herd size in the US. Now that may change, but again back when I said it takes longer for cattlemen to rebuild their herd. I mean, do the gestation period, et cetera.

So, they're slower to react and they're slower to react when it's coming and going. So, there may be some signs certainly where prices are going that they would want to rebuild. But really what's holding that back is input costs. So, if you're looking at just historic highs right now in the last – at least over the last few years since the 2014-2015 period in corn prices, which I think as you look at that one of their biggest – that's their biggest costs relates to that and labor. So – and by the way, labor is also pretty challenging as you know as well for most of our customers.

So, I do think that is going to continue also this time and demand will increase, and you are seeing the input costs go up and cost of meat go up. I still think whether or not they're profitable and whether or not they think they're going to be profitable in a year, will probably temper some of that enthusiasm of the increased demand of dine-out overall in the US. You're also just working through stocks, but that's market-to-market. But I think US cattle, I think, will still be a little bit sluggish and we're not expecting – maybe low single-digit growth there, flat to low single-digit growth over the next year or so.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Specific to US cattle or [ph] the rest of the world cattle (00:07:52).

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

US cattle on that one, correct.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

[ph] And one I've got (00:07:55). Let's just talk to JBS. And I saw the news [indiscernible] (00:07:57) got asked the market leaders this question, well I've got them. My thought was if that was a prolonged event from a cybersecurity [indiscernible] (00:08:05) really play around with the food supply chain. I mean, it seems like it's evolving but maybe it's not as prolonged as with the initial concern was 48 hours ago. What does that news mean or not mean for the industry in your opinion as we sit here today?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Look, I think it's going to work its way out over the coming weeks. I agree with you 48 hours ago the story was quite different when they first got hit. They took out a huge percentage of their capacity. They did a phenomenal job of trying to work to get that back. They could – there's more space for them to move in pork, which they did. They definitely still had some challenges in poultry, which I think they seemed to address. The cattle part was harder for them because those are large animals moving them. There's really little excess capacity honestly at the packing plant perspective there.

But from what we've heard in the last 24 hours even they've just gotten a lot more, their plants back online. And I think that will work its way out. It's just yet one more uncertainty to producers. They probably [ph] – we're not, I mean, god (00:09:02), I mean what do we – the [ph] locus are back here, so I can't even say the locus (00:09:04). But there is definitely a little bit if you're a cattle producer wondering what else is going to fall. But I give JBS credit, they've recovered much faster in getting those plants set up to still produce faster than we expected at least.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Okay. Good. Good to hear. I'm going to shift gears and move over to companion animal therapeutics and obviously a lot to talk about there. And certainly atopic dermatitis, maybe just to begin what percentage of US practices are arguably using Apoquel and Cytopoint right now? And is this all about a utilization gain from here? The product's been tremendous over the past [ph] products (00:09:40), handful of years, pretty much as everyone using it now in the US or is there still a little bit more of a ways to go in terms of new adopters if you would?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

Sure. I mean, let me break it down in a few ways. So obviously...

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Okay.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.
A

...we started with a really strong quarter and 24% growth in dermatology for us across Apoquel and Cytopoint. And I'll compare a little bit of US and international, which are on slightly different spaces [ph] I will (00:10:03) say. As you look at the US, what's driving that growth first is just more people adopting pets, more people staying at home with their pets, noticing that it's going to a vet, and more people prescribing it. So, as you look at some of that growth, it was certainly an expansion of the category, which we continue to look to do. We're investing significantly in direct to consumer advertising to raise awareness if you have an itching dog, there is a product for you and go to your vet. Some of that's branded. Most of it is now, but sometimes it's unbranded for us and people being home noticing. And I think that's really what's growing it.

Look, there is still in the US alone, 6 million dogs that have a type of dermatitis that are not treated today. So, we still think there's growth there. Like every clinic in the US has access and is currently using Apoquel. But we still think there's growth in getting it as a more of a first line treatment. So, why not as soon as that pet comes in, we should be the first thing they turn to. We're gaining share against steroids, which is still getting used often in a first visits. [ph] Poulvac (00:11:01) can just address it. So, I think there's more we can do there. But I'm also super excited about the opportunity outside the US.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.
Q

Yeah.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Where our – as you look at those dogs treated, et cetera and our penetration where it's still less. That we're looking to be creative around raising disease awareness. Since some of these markets outside of the US, we cannot do direct to consumer advertising, but we can raise disease awareness that there are products for some of these diseases, which we'll continue to do. And then to leverage direct to consumer in the markets where we're able to.

I still think outside the US, we still have a significant opportunity to continue to grow that product. And as you know, we're looking this year for our dermatology portfolio to be at least a $1 billion in sales, which would be first for us.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Yeah. And maybe to [ph] push (00:11:46) you a little bit on the international opportunity, so I'm looking at some of my numbers. I think internationally atopic derm was [ph] huge in the quarter, it's sort of (00:11:50) 50%. That could sometimes be a little bit lumpy. But do you think atopic derm has a better opportunity to go cross-borders, if you would? Like a lot of times some of the innovation is much more pronounced the uptake here in the US from a pet owners' perspective. But do you think atopic derm is something where if we're able to get out to the consumer, you could actually see greater uptake or utilization of that portfolio in some of these OUS markets?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

I think it is and I'll tell you why. The reason is it's symptomatic. If anyone who's listening who has a dog, who has had atopic dermatitis, knows it. The licking, the scratching, the lick, the scratch – I mean it keeps you up at night. So, if you know there's a product and your dog's doing it, it's not like flea, ticks where until they get a tick, you don't really – maybe I don't know for a while. It's not necessarily symptomatic, it's preventative. Wellness products are sometimes hard from that perspective. When you have something so symptomatic, I really do believe there's a significant opportunity to raise awareness with pet owners and clinics that this can be treated, there is a treatment, ask pet owners about it. So, we do think that's a significant opportunity and we're trying to just be more creative and really as we talk with our local management, what are those opportunities to get [ph] markets there have been (00:13:07) to adapt some of these new technologies a little faster.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay, great. I'm going to continue one more down the atopic derm road. You guys talked about eventual competition. It's probably not going to be there until at least the back half of 2022. Your thoughts on a veterinarian's willingness or pet owner's willingness to take their dog off of their responder for a solution that's 10% or 15% or 20% cheaper. And where I'm going with this question is I think it's something different than like a preventative, right? If there's a preventative for flea and tick, it's a preventative at the end of the day. And maybe you have an appetite for a cheaper solution as a pet owner, but it's symptomatic. Well, you just said. I mean, I see my dog itching, scratching and I put them on and this thing works. Do I want to mess around for 10% or 20%? So, your thoughts, I mean, first of all competition as you get there and it's likely not there for at least another year. But even when it gets there, you see their ability to really take dogs already on as Zoetis' solution whether that's Apoquel and Cytopoint and move them to product X. I'd love to get your thoughts on that.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. So, I mean, look I think if your dogs [ph] have (00:14:14) a product, it's working great, you're not going to be that motivated to switch and certainly if it used to be awful and now it's working really, really well. I don't think you're as motivated. I mean, look there are some extremely price conscious customers that I'm sure would, I mean, that's not saying nobody would. I think their opportunity will be go after the newly diagnosed is a much easier lower hanging fruit.

But look we're really focused on building loyalty to Zoetis and building loyalty specifically to the Apoquel brand, making that part of Zoetis' pet care rewards has also been an uplift for that brand as well. So, you register that and the more products you buy from us, you get cash back to spend at your vet. We're really focused on continuing to build the loyalty to our brands and to Zoetis across our portfolio not just at the vet level, but with the pet owner.

So, we obviously know this is coming. I mean, we're surprised as many of you are that we haven't seen competition for Apoquel or Cytopoint before. Our knowledge of exactly when someone enters is not perfect. Our latest intelligence is we don't think the second half of the next year we'll see, but we're ready. I mean, we've been ready for a while for that to come. And we'll be aggressive at defending the value that our product provides the efficacy, the safety, the data behind it, et cetera.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

And do you know of that competition if and when it comes, is that more likely small molecule or large molecule like that potential competitor in 2H 2022? Do you know which one it would be if it's anyone at all?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

We don't know specifically. I mean, we're looking at potentially – more likely we think a small before a large molecule. But to be honest...

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

...it could be either. I think we're prepared on both. And what we're really impressive seeing is just how many times the vets now are taking some of those even [ph] seasonal chronic people (00:15:55) and moving them to Cytopoint. And in part of that is just, you don't have to worry about remembering every day and then customers [ph] would like it, vets like (00:16:01) to make sure they're guaranteed. So, either way, we are prepared whether it be a small molecule or a large molecule.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay, great. Trio, we had some very positive [indiscernible] (00:16:12) initiation actually on Trio market share gains, a really big market share gains anticipated 2022 versus 2021, I believe. Where's Trio from a practice penetration number? Is there a way to just level set everyone and say, hey, we're an X percent of the practices today and where you think you can go over next 12 to 24 months?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. I mean, we're quite pleased with Simparica. It is now the number two flea, tick, and heartworm, the Simparica family. And really as we look at Simparica and importantly our parasites – parasitic portfolio, it's the most comprehensive. And so regardless of how a vet wants to practice, whether they would rather use a ProHeart injectable with the Simparica or a single chewable Simparica Trio across all three. We really feel we have the portfolio that works for them as well as with cats with Revolution and Revolution Plus, et cetera.

And I think the reason I talk about the portfolio is it helps build upon itself. And we're really excited at the growth. The penetration is exactly what we expected at the end of last year. We didn't get there, I would say exactly how we thought. But as you starting to see the great growth we had in Q1, it's because we do have the clinics penetrated that we wanted to have. And we're really happy, not just that we penetrated, but we're really focused on reorder rates. And we're seeing an 80% reorder rate in those clinics. I also think one of the other great drivers is once a pet owner gets on it and a lot of them are moving to e-commerce on Autoship, and it's easy. It's one thing they got to remember versus multiple things. And that's really, I think, working for our advantage as well.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

I'm happy you brought that up and I wanted to touch on that. I mean, I'm interested in following the space and [ph] even had kind of like you (00:17:47) participated in the conference and it just seems like everyone's parasiticides are growing or a lot are growing at a really good clip. And I think you just alluded to it, but Kristin, as part of that the fact that you go to e-commerce and it just takes that compliance component out of their hands, the reorder, and maybe that's just allowing for parasiticide market growing, I don't know 8%, 10%, 12% overall, is that fair?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. I mean, I also think a few things, I think, are driving that. One is the vets getting more involved, the vets recommending versus they probably thought someone is just using whatever over-the-counter product from the big box, they're now recommending one. They're getting them on it and they're getting them on Autoship. And so you're partly seeing, I think, more of a movement to prescription versus some of the over-the-counter. People are starting to see the efficacy, the convenience of the category. And I think the more people are moving to e-commerce, the more you're really seeing compliance. I mean, my dog has a condition and is on prescription dog food and I don't have to think about it, it just arrives. And so, it's not like that I missed a week [indiscernible] (00:18:45), I'd make sure it stayed on the dog food. But I mean it's one of these things that it just makes your life much easier and it does remind you every month, it's just going to get it, it's going to arrive. So, I do think it is going to drive increased compliance.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. So, the biggest question I get from investors is where your flea, tick, and heartworm portfolio can go from a market share perspective? I think Glenn gave a metric that it was roughly 31% on the most recent quarter. And like you said, it goes way beyond Simparica [ph] right, it's (00:19:11) ProHeart, it's a bunch of other products you have.

Parasiticide is the biggest component of the companion animal market. Where can this go longer term? You're at 30%, 31% today, but arguably Trio is still early, it's just scratching the surface in some international markets. Can you get something that's more representative of 40%, 45% market share in this segment over time?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. I mean, I think the two things; first, I think the market itself is growing. So, I think the good news is this is a market – as you look at most people thought there were $600 million brands before we entered with Simparica and most people are like Oh! How you ever going to − when you see competition with Simparica Trio, how are you going to compete? Well, we were third to market and did quite well.

So, I do think part of that is they said the category itself is growing. I think the compelling value proposition of Simparica Trio makes it as well quite unique single, it's a single chewable, great efficacy, great safety profile. So, I think people are seeing the positive and I do think we can continue to grow share. I also think globally as you look at that we're still under penetrated in other markets as well and we're not necessarily in parasiticides yet and [indiscernible] (00:20:17) punching at our full weight in our market share overall in parasiticides. So, I still think we have growth overall to continue to grow our share as well as grow the market and we're focused on really doing both.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. Maybe one more down on the therapeutics real quickly. Well, Librela and Solensia, hopefully we see both in the US in 2022. But you talked a little bit about a high level of some early findings in Europe that have come back quite positive. Can you maybe just talk to what you're seeing in those markets upon launch and the receptivity from the marketplace for those products?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Sure. I'd start with the really great news is for Librela and Solensia, the two monoclonal antibodies for osteoarthritis in dogs and cats, respectively. It's an exciting new technology and a space that people have been waiting for one. I do have a dog, I can't wait for – I mean, what I'm saying the dog has osteoarthritis, my dog has. Everyone's really looking for new solutions here, better safety and efficacy profile. So, there was a lot of energy, I think, when we were launching the early experience trial that we finished in Q1 as we talked about on earnings with regard to Librela was incredibly successful.

We're seeing dog – pet owners and vets noticing very quickly the difference that it makes. So, I mean, we're really excited. We're currently in the early experience part for Solensia. Cats is a different dynamic completely than dogs. Dogs, there have been products out there. They're just looking for maybe a better safety profile, better efficacy, et cetera, and a new technology. And cats, for the most part, there really hasn't been great solution for them. But it's also hard to get a cat to the vet. And it's also harder to tell when a cat is suffering. So, it's a slightly different market to build. So, we're looking at slightly different, we think, trajectories to peak sales in both those products. But the enthusiasm for really – when they experience the product remains very strong and will remain very bullish on both of these and believe both of these will be blockbusters in animal health, which means at least $100 million.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

And, Kristin, this is another thing to – it's symptomatic, right? You're as a pet owner you see your dog or your cat struggling. So, the intention from Zoetis would be what to spend behind these initiatives as well when we look at it into the future?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Absolutely. I mean, again – and a lot of this is going to be disease awareness in the markets right now in Europe where direct to consumer advertising is not allowed. In the US, when they're approved, absolutely, we would spend behind this. I mean, these are huge markets. And I think there's just significant unmet medical need, I mean, definitely impacts across the globe. So, I think there's a big opportunity here to be creative on building these markets for cats, and then really growing it in dogs by bringing in a new technology that's really making a huge difference [ph] and they benefit (00:22:53) animals.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. Let's see what we can get through in the last three to four minutes. I mean, maybe one big one on diagnostics. It seems like vets is in a better place. There's some traction. There's been some really impressive numbers over the past handful of quarters. And you've got a new product in there with images. How about that reference lab build out? Is that just going to be slow and steady where you're adding to the network a certain number of labs every year? And maybe if there was an opportunity to really take a big splash with a particular network, you'd go down that road. Otherwise, how do we think about you creating that broader reference lab network that I believe you're pursuing?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. We were quite pleased in Q1 with the 47% growth overall in diagnostics. Obviously, the point of care diagnostics is continuing to do well. We're focused there around placements and then really driving consumable use. And then really looking in the markets around the US, which is around in metropolitan areas, MSAs to grow our reference lab. And we're really pleased with the progress there and the willingness of our customers when they can get off these sort of prohibitive contracts of others to really want a different solution, one that's easy to work with, really flexible, that doesn't lock them up. So we're really excited.

That is as we've talked about, there's not really big acquisitions we can do that grows that. So, it's going to be mostly inorganic build in the US. And we're very focused on a similar strategy outside the US to do the same, a mixture of buying build outside the US. But we think reference lab is just a really important part of the way clinics provide care and we're excited to grow with that market. Overall, diagnostics and reference lab is growing at double-digit, 10%-plus. So, we really think it's a great opportunity and has a strong ROI [ph] growth (00:24:25).

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. Last minute or so. I'll go down the route of the model. So, it looks like – let me just take a step back. For Zoetis, is gross margin and OpEx leverage still part of the equation? When we've seen this accelerated level of spend where you have these massive blockbuster products and you wanted to support them, when we look out over the next couple of quarters, Kristin, should we – sorry, next couple of years, pardon me, should we think about leverage in both areas, positive mix shift to companion animal maybe aiding gross margin, but also the company being able to deliver on some OpEx leverage as well?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

Yeah. No, I do think there's opportunities in both. I think to your point, when the mix moves to companion animal that will obviously be positive. So what you're seeing a little bit and that's also the drag as we invest in some of these businesses at this reference lab that we're doing organically that obviously will be a drag for the next few years. But the shift is very positive. We see certainly opportunities in both gross margin as well as in OpEx to get greater leverage, yes.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Q

Okay. And very last question. Biggest pushback I get on you guys is durability of growth, right? There's just not a lot of $7 billion top line companies growing organically 10% to 11% like your guidance says this year in 2021, you don't have competition coming in some of the notable products until back part of 2022 at the earliest. Do you think this growth rate is maybe a little bit more durable than some people may be appreciating over the next couple of years?

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

A

I do think it's durable. I think it's durable if you just look at the consistency of our industry, the resilience of the industry and then add the innovation that Zoetis brings and the market leadership that we bring. I think we've got tremendous growth drivers in pet care, across parasiticides, dermatology, mAbs. If you look at like internationally, just the growth you're seeing in China with 75% in Q1; Brazil 48%. And then add to that, diagnostics, growing 10% plus, I think this is a very sustainable growth story.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Okay. Great. Kristin, I jammed as much as I possibly could in the 25 minutes.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

I could, possibly could.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Thanks very much for your time, for your participation. It's great to see you and have a great rest of the conference.

Kristin C. Peck
Chief Executive Officer & Director, Zoetis, Inc.

Thank you. Thanks, Jon.

Jonathan D. Block
Analyst, Stifel, Nicolaus & Co., Inc.

Take care.